

TO OUR SHAREHOLDERS:



LEFT: Stan A. Askren, PRESIDENT

RIGHT: Jack D. Michaels, CHAIRMAN AND CHIEF EXECUTIVE OFFICER

As we celebrate our 60th year, HON INDUSTRIES has seen much change. The industry has changed. The world has changed. Our business has changed. What has not changed are the culture and values on which we were founded: integrity, fairness, and respect — in the treatment of others, continuous improvement, and responsiveness to those who buy our products and services. In our unique and powerful member-owner culture, throughout our history, every member has had an opportunity to participate in making the business better. We did so again in 2003.

We outperformed our peers. We grew our sales and profits. We gained market share by providing strong brands, innovative products and services, and greater value to our end-users. We continued to increase our gross margins, a direct result of our ongoing commitment to lean initiatives. We used our strong, positive cash flow to invest in our business for the long term and returned profits to shareholders. We accomplished all of this in a very challenging economy and market.

Although we are proud of what we achieved, our philosophy of constructive discontent drives us to continue to challenge ourselves to do better. We believe to succeed in a business environment of ongoing change and continuous transformation we also must continue to change. Today, we are

leaner, more focused, and have more clearly defined brands than ever before. Our challenge is to grow, aggressively and profitably, through market-driven solutions while maintaining focus on what we do best — operational excellence. Our transformation continues:

BUILDING BRAND MARKET POWER

We are investing significantly in our brands and increasing our understanding of our diverse range of end-users and the solutions they want. We are building market power through several initiatives: focused selling models; clear brand identity; targeted advertising; expanded channel presence; and aggressive products and solutions development. We are strengthening our ability to be the “perfect match” with end-users in every segment we serve.

ACHIEVING BEST TOTAL COST AND LEAN ENTERPRISE

“Best total cost” means more than being a low-cost manufacturer. It requires us to think about the entire value stream — where and how to manufacture, ship, install, outsource, assemble, service, procure, and sell — all to provide the best total value to our end-users. We implemented lean initiatives,